

67. **Powers of sale.**—Mortgagees at the present time almost invariably have powers of sale, [either expressed in the mortgage or arising under the recent Act (c),] but formerly it was otherwise, and trustees would no doubt be held justified in taking a transfer of an old mortgage not accompanied with a power of sale. Where, however, it is practicable, trustees should always insist on a power of sale, though the omission might not amount to a breach of trust (d).

68. **Caution in payment of the money.**—When trustees lend on mortgage, they should be careful not to part with the money, except on delivery of the security; for they will be liable for all the consequences if they sell out stock, and allow their solicitor or agent to receive the money on his representation that the mortgage is ready, and it afterwards turns out that the proposed security was a pure invention, and that the money has been misapplied (e).

69. **Clause not to call in the money.**—A power of investment does not justify trustees in admitting a clause that the mortgage shall not be called in for a certain period, *and if the interests of the *cestuis que trust* were [*332] thereby affected, the trustees would be personally responsible (a).

70. **In loans of trust-money, the trust kept out of sight.**—Where trust-money is lent upon mortgage, it is desirable to keep the trust out of sight, that when the money is paid off, the trust deed may not become an essential link in the mortgagor's title. It is usual, therefore, to insert in the mortgage deed a declaration, that the money advanced belongs to the trustees (not described in that character, but by name) on a joint account, and that the receipt of the survivors or survivor, his executors or administrators, their or his assigns, shall be a sufficient discharge (b); a practice which, assum-

[(c) Under 44 & 45 Vict. c. 41, s. 19, *et seq.*, a statutory power of sale arises under every mortgage by deed unless expressly excluded.]

(d) See *Farrar v. Barraclough*, 2 Sm. & G. 231.

(e) *Rowland v. Witherden*, 3 Mac. & G. 508; *Hanbury v. Kirkland*, 3

Sim. 265; [*Re Speight*, 22 Ch. D. 727; 9 App. Cas. 1;] and see *Broadhurst v. Balguy*, 1 Y. & C. C. C. 16.

(a) *Vickery v. Evans*, 3 N. R. 286. See p. 329, note (e).

[(b) See now 44 & 45 Vict. c. 41, s. 61, which, subject to a contrary intention being expressed in the in-